

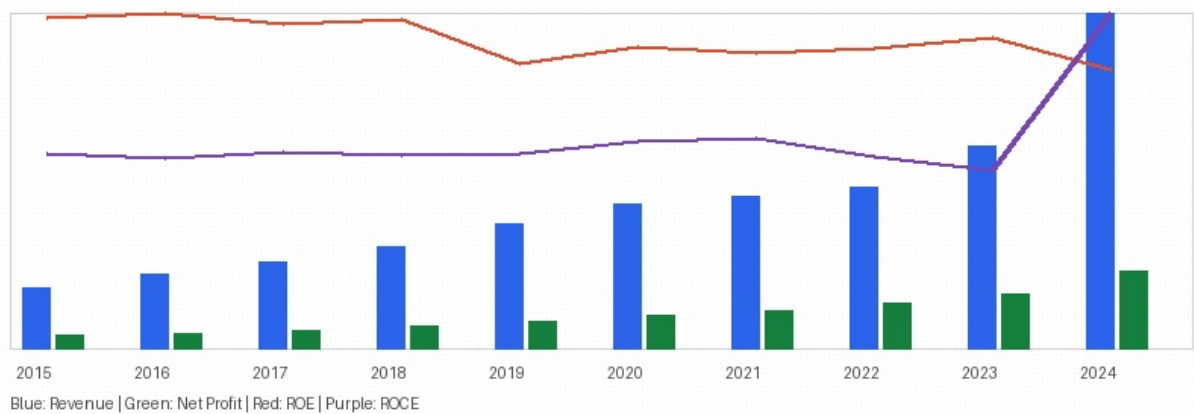
HDFC Bank Ltd (HDFCBANK)

ROE 14.34%	ROCE 4.89%	NPM 23.07%
D/E 6.81	Revenue CAGR 21.95%	FCF 35,669.00

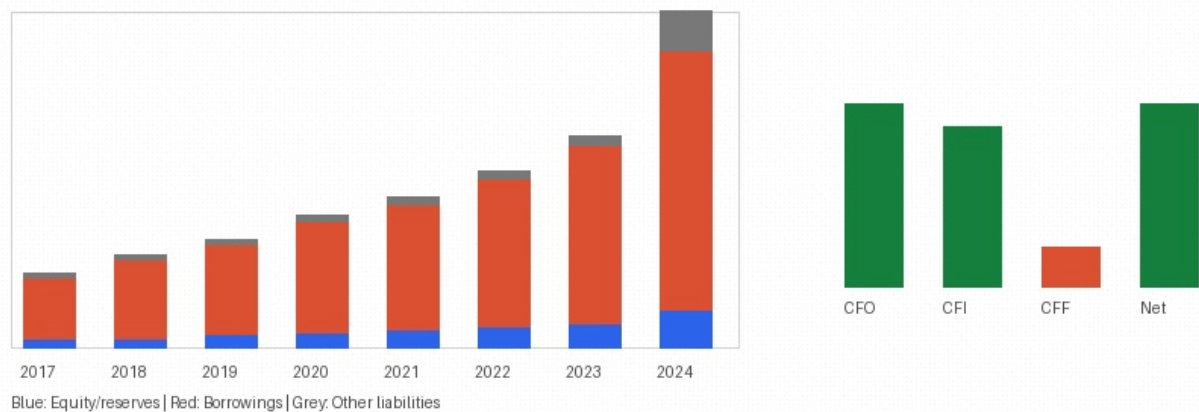
Sector: Financials | **Sub-sector:** Private Banks

HDFC Bank Limited (also known as HDFC) is an Indian banking and financial services company headquartered in Mumbai. It is India's largest private sector bank by assets and the world's tenth-largest bank by market capitalization as of May 2024. As of April 2024, HDFC Bank has a market capitalization of \$145 billion, making it the third-largest company on the Indian stock exchanges

Revenue, Net Profit, ROE and ROCE trend



Balance sheet composition and latest cash-flow waterfall



Pros	Cons
Revenue growing at above 15% CAGR over 5 years reflects strong business momentum	Interest coverage ratio below 1.5x indicates the company is at risk of not meeting its debt obligations
Operating profit margin above 25% indicates strong pricing power and cost discipline	Return on capital employed below 10% suggests the business is not generating sufficient returns on invested capital
Net profit compounding at above 20% over 5 years creates significant shareholder value	Net debt exceeding 3 times EBITDA is a high leverage ratio and limits financial flexibility

Capital Allocation: Liquidating Assets